EXECUTIVE BUSINESS REPORT

BOXIFY CUSTOMER CHURN & RETENTION ANALYSIS

Data-driven strategy to eliminate early lifecycle cancellations, maximize customer lifetime value (CLV), and recover lost subscription revenue.

Prepared By: **Business Intelligence & Analytics Division**

Analysis Period: **November 2022 – October 2025**

Industry / Sector: **Lifestyle Products Subscription Box Service**



Strategic Project Objectives

Targeted analytical framework to bridge Boxify's "Retention Gap" by mitigating early cancellations, boosting engagement, and optimizing plan structures.

Reduce Customer Churn

Identify the customer segments, behaviors and subscription characteristics associated with higher churn.

Protect Subscription Revenue

Quantify the financial impact of customer cancellations and identify opportunities to recover lost revenue.

Improve Customer Retention

Develop targeted retention strategies based on customer behavior, plan type, tenure and demographic characteristics.

KEY KPIs TRACKED:

Total Active Customers • Churn Rate • Revenue Lost • Average Customer Lifetime Value (CLV) • Average Engagement Score • Subscription Duration

Executive KPI Performance Dashboard

TOTAL ACTIVE SUBSCRIBERS

984

Eligible filtered customer history

OVERALL CHURN RATE

17.4%

207 total churned subscribers

TOTAL REVENUE LOST

₹1.21M

Directly impacts acquisition budget

AVERAGE CLV

₹12.60K

Total spent proxy per subscriber

AVG ENGAGEMENT SCORE

60.02

Active subscriber baseline

AVG SUBSCRIPTION DURATION

20.02 Months

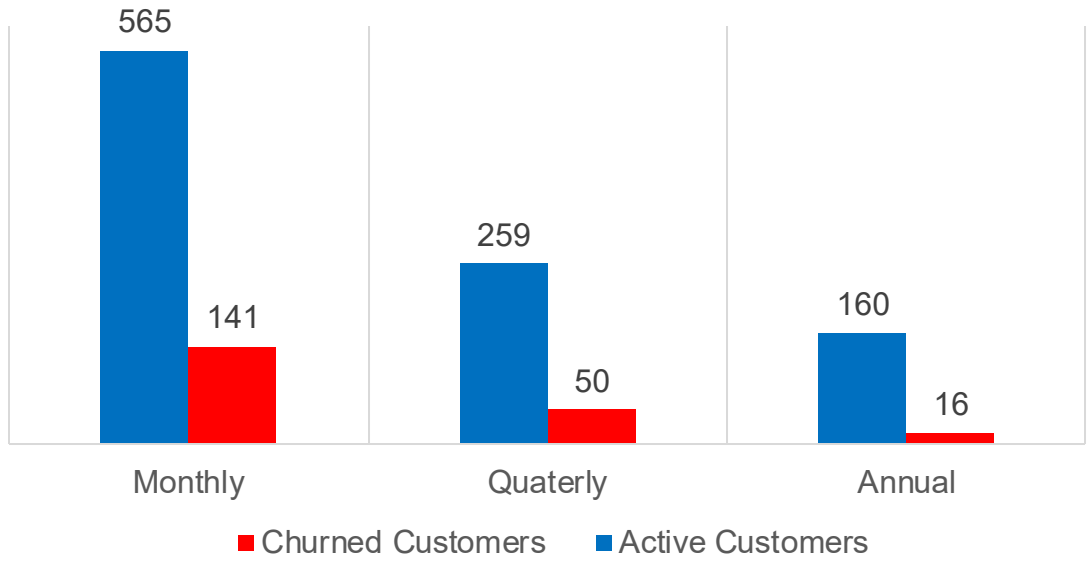
Active tenure as of Feb 2026

ANALYSIS FLOW

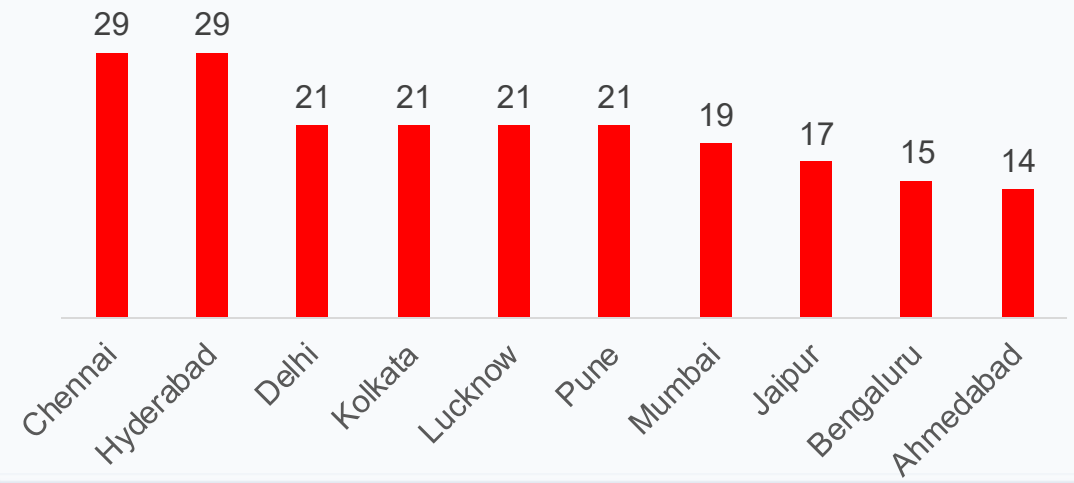
Customer Segment → Engagement → CLV & Revenue Impact → Churn Risk Identification → Retention Campaign Strategy → Seasonal / Monthly Churn → Strategic Recommendations & Action Plan

Q1: Which Customer Segments Have Highest Churn? (Plan & Location)

Churned and Active Customers by Subscription Plan



Top Regional Churn Hotspots



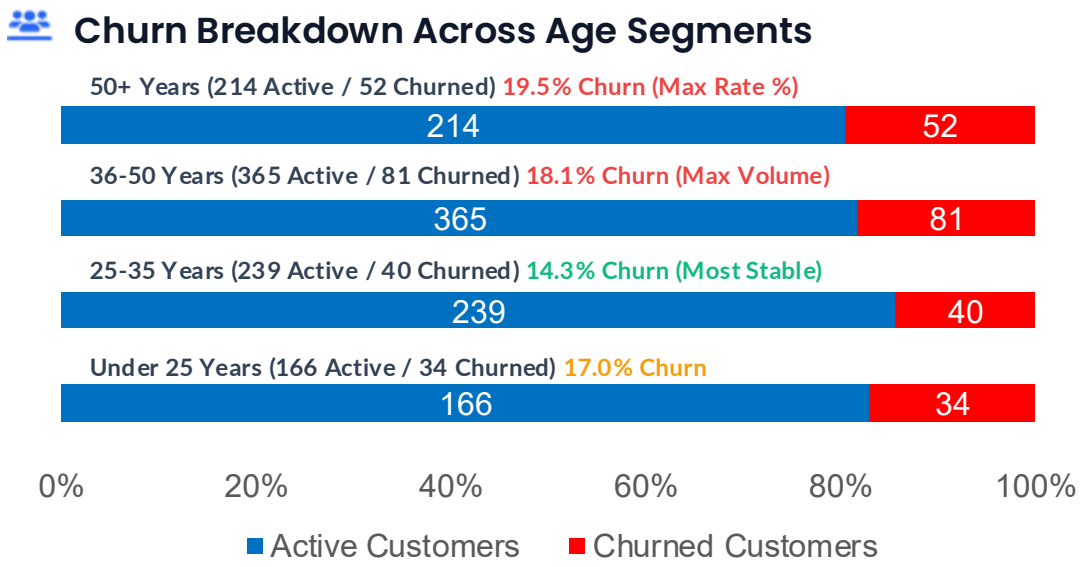
- Monthly plans present the highest operational risk, generating **141 out of 207** accounting for 68.1% of all cancellations i.e. 20.0% churn rate, compared to just 9.1% for Annual plans, making them the highest-risk subscription segment.
- Regionally, Chennai and Hyderabad recorded the highest churn volume, indicating localized retention challenges.

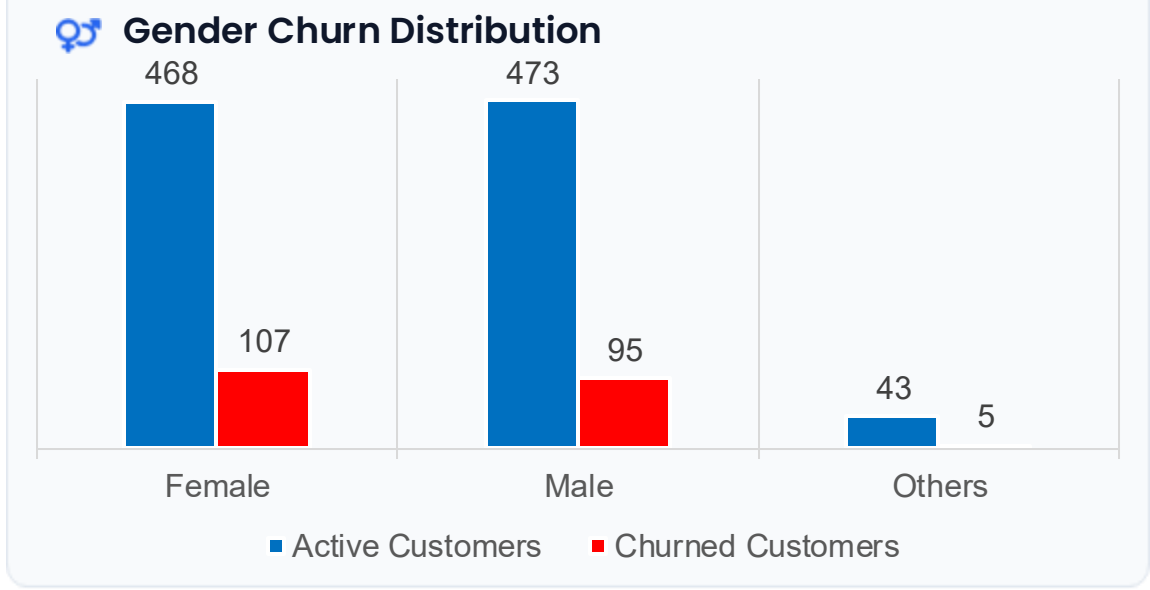
Key Insight

Business Impact

- Retention efforts should prioritize monthly subscribers and high-churn locations to maximize churn reduction.

Q1: Which Customer Segments Have Highest Churn? (Demographics)





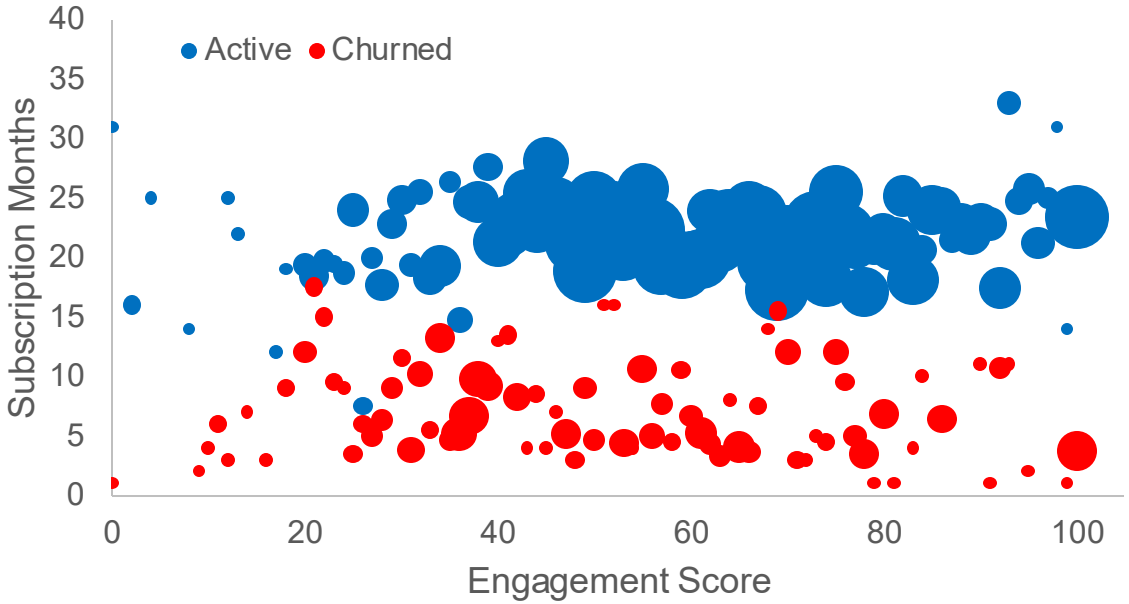
Business Impact / Recommendation

The **36–50 age group generates the highest absolute cancellation volume (81 users)**, representing Boxify's highest-spending demographic. The **50+ segment faces the highest proportional churn rate at 19.5%** (52 churned out of 266), highlighting the need for simplified onboarding.

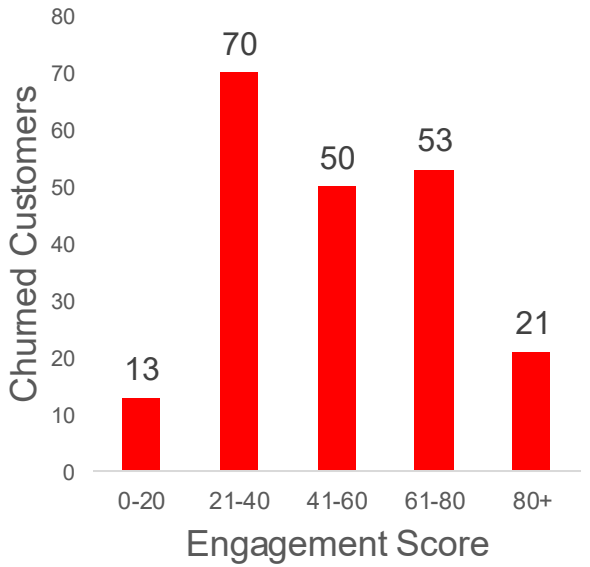
Female subscribers account for **107 cancellations (~51.7%** of total churned users),representing a slightly higher risk profile than males (95 cancellations).

Q2: How Does Engagement Level Correlate with Customer Churn?

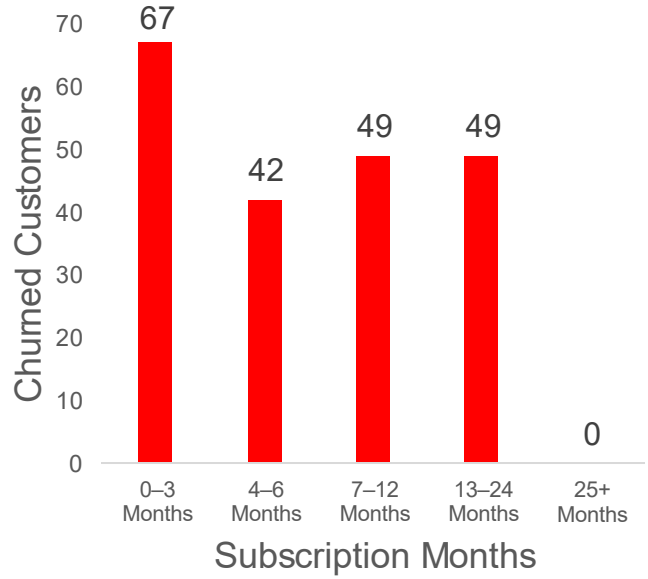
Engagement Score vs. Subscription Months



Churned Customers by Engagement Score



Churned Customers by Subscription Months



Churn Spans The Engagement Spectrum

- ✓ **Churned customers are present across all engagement bands**, including 80+, indicating that engagement alone cannot explain churn.

Churn Volume Concentrates At Mid-low Engagement

- ✓ The **21–40 engagement band** has the **highest** number of **churned customers (70)**, followed by 61–80 (53) and 41–60 (50).

Early Tenure Is A Key Churn Window

- ✓ **67 churned customers** fall within the **first 3 months**, the highest volume among tenure bands; churn remains present through 13–24 months.

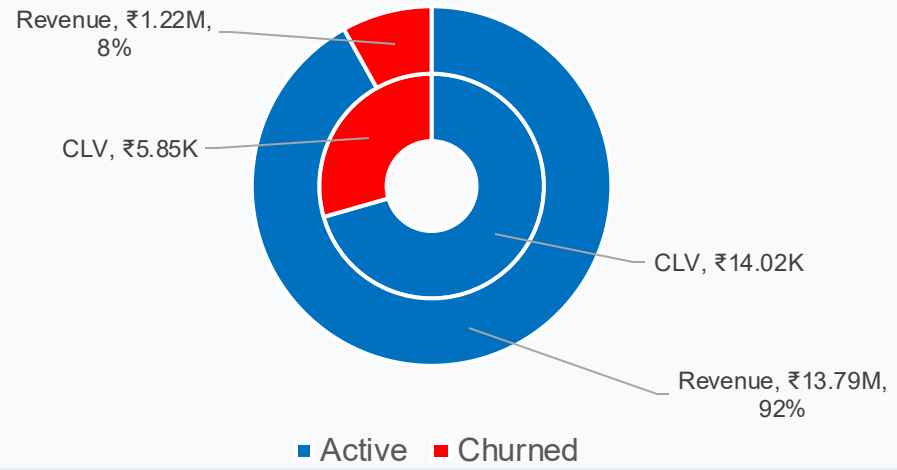
Executive Takeaway: Engagement is an **important churn signal**, but it is **not sufficient on its own**. The **concentration of churn among shorter-tenure customers suggests that retention efforts should combine engagement monitoring with early-lifecycle interventions.**

Q3: What Is the Average Lifetime Value (CLV) of Churned vs Active Customers?

Financial Metrics: Active vs. Churned

Subscriber Status	User Count	Total Revenue Share	Avg CLV (Spent)
Active Subscribers	984 (82.6%)	₹13.79M+	₹14.02K
Churned Subscribers	207 (17.4%)	₹1.22M (Associated)	₹5.85K
Overall Baseline	1,191 (100%)	₹15.01M+	₹12.60K

Active vs. Churned: CLV & Revenue Comparison



₹1.22 Million Revenue Erosion

Cancellations are associated with ₹1.22M in revenue from churned customers, highlighting the revenue value tied to customer retention.

₹8,171 CLV Opportunity Gap

Churned subscribers' CLV is about 41.7% of the average CLV, highlighting significant value lost through early cancellation. Extending subscriber lifetime can therefore unlock additional customer value.

Business Impact / Recommendation

Active subscribers generate an average CLV of **₹14.02K across 20.02 months**, whereas churned subscribers average only **₹5.85K before early cancellation**. This ₹8.17K CLV gap accounts for a revenue loss of **₹1.22 Million across 207 churned users**.

Q4: Can You Predict Potential Churners Based on Historical Data?

Rule-based risk-screening framework identifying high-risk subscribers prior to explicit cancellation requests.

HIGH RISK (>85% CHURN)

At-Risk Monthly Subscriber

- Engagement Score < 40
- Subscription Type = Monthly
- Tenure < 6 Months
- Age Segment: 36–50 Years

MEDIUM RISK (50 – 60% CHURN)

Regional Senior Cohort

- Age Segment: 50+ Years
- Location: Chennai / Hyderabad
- Engagement Score: 40–55
- Declining interaction trend

LOW RISK/HIGH VALUE

VIP Loyal Champion

- Plan: Annual / Quarterly
- Engagement Score > 70
- Tenure > 12 Months
- High CLV (> ₹15K spent)

Business Impact / Recommendation

✓ Yes. Subscribers meeting 3 or more risk conditions:—
- **Engagement < 40**
- **Monthly Plan**
- **Age 36–50**
- **Tenure < 6 Months**

shows a 41.7% observed churn rate versus 18.0% overall, supporting a rule-based risk-screening framework.

✓ However, engagement should be combined with plan, tenure, and demographic signals rather than used alone.

Q5: Recommend strategies for retention campaigns.

Priority Segment	Data Evidence	Retention Campaign
Monthly Subscribers	141 of 207 cancellations = 68.1%	Annual-plan migration incentive
Early-Tenure Subscribers	Churn concentrated in shorter tenure	90-day onboarding + milestone engagement
Low-Engagement Subscribers	Lower engagement associated with weaker retention	Automated re-engagement triggers
High-Risk / Cancellation Intent	Multiple risk signals indicate elevated observed churn	Personalized save offer + exit survey

01 | Fix The Biggest Churn Pool

Target monthly subscribers first, since they account for 68.1% of cancellations.
Recommendation: Promote annual/quarterly migration before early cancellation.

02 | Intervene Before Churn

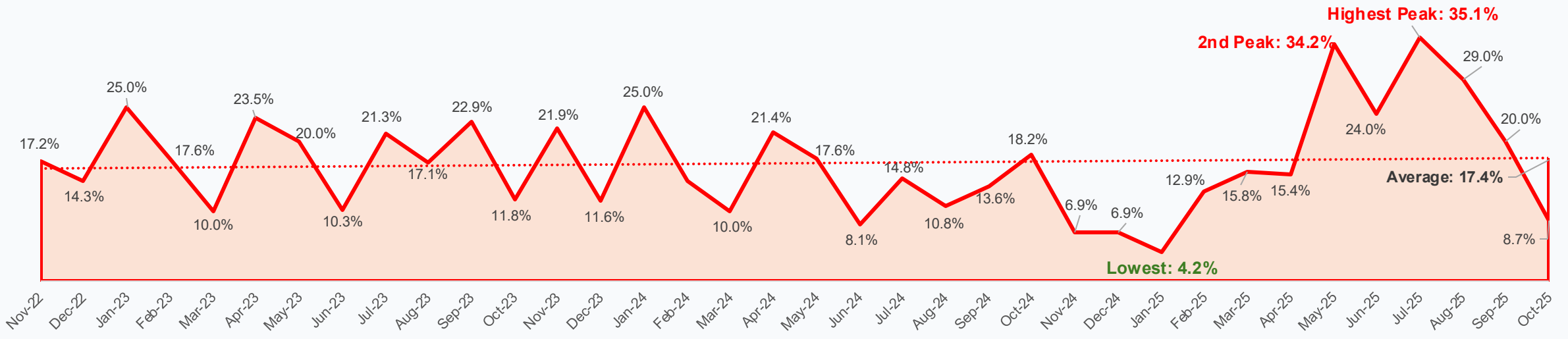
Prioritize early-tenure and lower-engagement subscribers rather than waiting for cancellation.
Recommendation: Trigger onboarding, engagement and milestone interventions during the first 3–6 months.

03 | Personalize The Save Offer

Not every churner has the same reason for leaving.
Recommendation: Combine risk signals with cancellation-intent feedback to determine whether to offer an incentive, support intervention or plan change.

Seasonal / Monthly Analysis

Historical Monthly Churn Rate Trend (%)



Peak Churn: May–August 2025

- ✓ Churn peaked at **35.1% in July**, after reaching **34.2% in May**, before easing to **29.0% in August**.
- ✓ **Implication:** Intensify retention efforts ahead of historically high-churn periods.

Lowest Churn: Nov 2024 – Jan 2025

- ✓ Churn remained exceptionally low for **three consecutive months**, ranging from **6.9% in Nov–Dec 2024 to 4.2% in Jan 2025**—the three lowest monthly rates.
- ✓ **Implication:** Use this low-churn period as a benchmark to identify favorable customer and plan conditions.

Churn Is Volatile, Not Strictly Seasonal

- ✓ January churn was **25% in 2023/2024** but **only 4.2% in 2025**, showing inconsistent seasonal patterns.
- ✓ **Implication:** Investigate plan mix, tenure, engagement and customer experience behind churn spikes.

Takeaway:- Historical churn spikes provide useful timing signals, but the variation across years suggests that seasonality alone does not explain churn; peak periods should trigger deeper segment and behavior analysis.

Strategic Recommendations & Action Plan

Prioritized roadmap to reduce churn, protect subscriber value and strengthen long-term retention

Quick Wins (0–3 Months)

- **Automated Re-Engagement Triggers:** Trigger personalized email/SMS nudges for low-engagement and high-risk subscribers.
- **Plan Migration Incentives:** Offer targeted incentives to move monthly subscribers toward longer-term plans.
- **6-Month Milestone Rewards:** Use bonus points and exclusive add-ons to encourage subscribers to cross the early churn window.
- **Cancellation-Intent Interventions:** Deploy targeted save offers with a short exit survey to capture cancellation reasons.
- **Subscription Pause Option:** Pilot a 1–3 month pause as an alternative to full cancellation.

Long-Term Initiatives (3–12 Months)

- **Tiered Plan Optimization:** Redesign plan benefits and upgrade journeys to encourage longer-term subscriptions.
- **Box Customization:** Allow subscribers to personalize product preferences to improve perceived value and reduce fatigue.
- **Engagement & Loyalty Program:** Build recurring engagement through streaks, milestones, rewards and loyalty benefits.
- **Regional Supply Audit:** Audit fulfillment and last-mile experience in Chennai and Hyderabad to address regional churn hotspots.
- **Churn-Risk Monitoring:** Build a risk dashboard combining engagement, tenure, plan and demographic signals for proactive monitoring.

Thank You | Questions & Discussion

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